Switch & Consolidation Plan

1. Fiduciary Reconciliation: Gross Bleed vs Net Realized Benefit

Metric	Naive Blind Switch (Week 1)	Fiduciary 3-Phase Tranche Switch
Gross Recoverable Commission Bleed	Rs39,020/yr	Rs39,020/yr
Exit Load Drag (40 immature lots)	Rs8,000	Rs0.00 (Hold to Day 366)
Capital Gains Tax Liability	>Rs22,000 (Immediate STCG/LTCG)	Rs0.00 (Loss Netting & Rs1.25L Exemption)
Net Year-1 Benefit	~Rs7,700 net (erases ~80% of savings)	**Rs39,020 (Retains 100% of savings)**
Execution Status	REJECTED (Misleading & Costly)	**PROPOSED / PENDING CLIENT VERIFICATION OF CGS**

(Note: Calling the gross commission difference an "immediate saving" without factoring in tax realization, exit loads, and client authorization is a fiduciary violation.)

2. Bucket 1: Direct Switch Candidates (Keep Fund, Eliminate Commission)

Fund	Value	Action	Reason
HDFC Defence Fund Regular Growth	Rs243,423	Phase 3 Switch	Eliminate commission; tax-shielded rollover
HDFC Flexi Cap Fund - Regular - Growth	Rs618,422	Phase 1/3 Switch	Core flexi-cap; eliminate commission
HDFC Mid Cap Fund - Regular - Growth	Rs139,017	Phase 1/3 Switch	Core mid-cap; eliminate commission
SBI Energy Opportunities Fund - Regular Growth	Rs154,326	Phase 3 Switch	Thematic; eliminate commission
ICICI Pru Large & Mid Cap Fund - Growth	Rs129,410	Phase 1/3 Switch	Core large & mid; eliminate commission
Parag Parikh Flexi Cap Fund - Regular Growth	Rs534,145	Phase 1/3 Switch	Core flexi-cap; eliminate commission
WhiteOak Capital Special Opportunities - Regular	Rs180,277	Phase 3 Switch	Thematic; eliminate commission
Motilal Oswal Nifty India Defence Index - Regular	Rs65,822	Phase 3 Switch	Index; eliminate commission
Motilal Oswal Midcap Fund - Regular Growth	Rs310,182	Phase 1/3 Switch	Core mid-cap; eliminate commission
Canara Robeco Multi Asset Allocation - Regular	Rs107,595	Phase 3 Switch	Hybrid; eliminate commission

3. Bucket 2: Consolidation & Exit Candidates (Multi-Cap Overlap & Redundancy)

Fund	Value	Action	Target Destination
Quant Multi Cap Fund	Rs450,000 *(est)*	Exit / Consolidate	Parag Parikh Flexi Cap / HDFC Flexi Cap
Mirae Asset Multicap Fund - Regular Plan	Rs504,768	Exit / Consolidate	Parag Parikh Flexi Cap / HDFC Flexi Cap

Fund	Value	Action	Target Destination
Canara Robeco Multi Cap Fund - Regular Growth	Rs280,986	Exit / Consolidate	Parag Parikh Flexi Cap / HDFC Flexi Cap
[4th Multi-Cap in Portfolio Crowding]	Rs245,971 *(est)*	Exit / Consolidate	Parag Parikh Flexi Cap / HDFC Flexi Cap

4. Bucket 3: Retain Existing Direct Core Funds

None currently listed in portfolio. All existing holdings are Regular plans requiring phased transitioning to Direct.

5. Fiduciary Tranche Transition Roadmap (Tax-Shielded Execution)

- **Step 0:** CGS (Capital Gains Statement) & CAS Lot-Level Audit from CAMS/KFintech before placing any order.
- **Phase 1 (Immediate / Month 1):** Switch ONLY mature lots (>365d) with unrealized losses or net gains within the Rs1.25L Sec 112A annual exemption. Switching loss-making lots creates capital losses to shelter gains with ZERO tax.
- **Phase 2 (Months 2-11):** Strictly hold all 40 recent SIP lots (Rs799,960) until day 366 to avoid 1% exit load penalties (Rs8,000) and 20% STCG. Execute rolling monthly switches as lots mature.
- **Phase 3 (Next FY April 1):** Stagger remaining mature gains across April 1 to utilize next year's fresh Rs1.25L tax exemption.

6. Post-Consolidation 4-5 Fund Target Portfolio

1. **Core Flexi-Cap:** Parag Parikh Flexi Cap Fund (Direct)
2. **Core Flexi-Cap / Large Cap:** HDFC Flexi Cap Fund (Direct)
3. **Core Mid-Cap:** Motilal Oswal Midcap Fund / HDFC Mid Cap Fund (Direct)
4. **Large & Mid-Cap:** ICICI Prudential Large & Mid Cap Fund (Direct)
5. **Asset Allocation / Hybrid:** Canara Robeco Multi Asset Allocation Fund (Direct)

(Multi-cap crowding eliminated via consolidation into core flexi-cap funds, aligning with the 50% Large / 35% Mid-Small / 15% Debt SAA Target).

Statutory Disclaimer: Mutual fund investments are subject to market risks. Read all scheme-related documents carefully. Past performance does not guarantee future returns. Consult a certified tax professional for individual tax filing.